

Fairmont CLO 2025-1, Ltd.

Preliminary Term Sheet | 6 March 2025 | Confidential

1. Transaction overview

This preliminary term sheet describes Fairmont CLO 2025-1, Ltd., a Cayman Islands exempted company (the Issuer), and Fairmont CLO 2025-1, LLC, a Delaware limited liability company (the Co-Issuer). The Issuers will issue secured notes and subordinated notes in a collateralized loan obligation managed by Beacon Hill Credit LLC (the Collateral Manager). U.S. Bank Trust Company, N.A. will act as Trustee, collateral administrator, and notes paying agent. The transaction is expected to close on 20 March 2025 in Boston. This document is a fictional sample for software testing only and is not an offer to sell securities.

Amina Solace is the lead portfolio manager at Beacon Hill Credit LLC for Fairmont CLO 2025-1. Robert Lang is the chief credit officer. The Collateral Manager is headquartered in Boston and is a wholly owned subsidiary of Beacon Hill Holdings LLC.

2. Capital structure

The Issuers expect to issue the following tranches. Par amounts are in US dollars. Ratings are expected ratings from Moody's and S&P and are not a recommendation to buy.

- Class A Senior Secured Floating Rate Notes: \$355,000,000; AAA(sf)/Aaa(sf); SOFR + 1.45%; WAL 6.8 years.
- Class B Senior Secured Floating Rate Notes: \$51,475,000; AA(sf)/Aa2(sf); SOFR + 2.10%.
- Class C Mezzanine Secured Deferrable Notes: \$34,435,000; A(sf)/A2(sf); SOFR + 2.85%.
- Class D Mezzanine Secured Deferrable Notes: \$25,915,000; BBB(sf)/Baa3(sf); SOFR + 4.20%.
- Class E Junior Secured Deferrable Notes: \$19,880,000; BB(sf)/Ba3(sf); SOFR + 7.15%.
- Subordinated Notes: \$45,795,000; unrated; residual interest.

3. Collateral and eligibility

The portfolio will consist primarily of US broadly syndicated first-lien senior secured loans, with a target par amount of \$400,000,000. At closing, the warehouse facility provided by East Pier Bank will be refinanced into the CLO. Eligible collateral must be US dollar denominated, have a Moody's rating of at least Caa1 or an S&P rating of at least CCC+, and may not be equity, bonds, or delayed-draw commitments above the stated basket.

Initial seed names expected in the warehouse include Apex Industrial Holdings (first-lien term loan), Fairmont Circuit, Inc. (first-lien term loan), Beacon Orthopedics (first-lien term loan), Summit Logistics Corp. (first-lien term loan). Apex Industrial Holdings is sponsored by Lakeside Private Equity.

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4. Coverage tests and covenants

Fairmont CLO 2025-1 will be governed by standard overcollateralization and interest coverage tests. Failure of a Class A/B Overcollateralization Test or a Class A/B Interest Coverage Test redirects interest proceeds to pay down senior notes in sequential order until the test is cured.

- Class A/B Overcollateralization Test: minimum 124.0%. This covenant is measured monthly by U.S. Bank Trust Company, N.A. as Trustee.
- Class A/B Interest Coverage Test: minimum 120.0%.
- Class C Overcollateralization Test: minimum 114.0%.
- Class D Overcollateralization Test: minimum 108.5%.
- Interest Diversion Test: if the Class E par coverage ratio is below 104.5%, 50% of remaining interest is used to buy additional collateral or pay down notes.

5. Concentration limits

The indenture imposes the following concentration limits on the collateral principal amount. Excess amounts are treated as haircut collateral for tests.

- Largest obligor: 2.0% (Apex Industrial Holdings is expected near 1.80% at close).
- Largest Moody's industry: 12.0%.
- Caa bucket (Moody's Caa1 or below): 7.5%.
- Second-lien and unsecured loans: 5.0% combined.
- Covenant-lite loans: 90.0% maximum.
- Non-US obligors: 15.0% maximum.

6. Parties and contacts

Collateral Manager: Beacon Hill Credit LLC, Boston. Primary coverage: Amina Solace (portfolio manager) and Robert Lang (chief credit officer). Trustee and collateral administrator: U.S. Bank Trust Company, N.A., St. Paul. Placement agent: Westfield Securities LLC. Warehouse lender: East Pier Bank. Issuer counsel: Hale & Martin LLP. Questions on this term sheet should be directed to Amina Solace at Beacon Hill Credit LLC.

The Collateral Manager may sell or buy loans for Fairmont CLO 2025-1 during the five-year reinvestment period, subject to the eligibility criteria and the reinvestment overcollateralization test. After the reinvestment period ends on 20 March 2030, principal proceeds are used to amortize the notes sequentially, beginning with the Class A Senior Secured Floating Rate Notes.